

Memorandum

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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM
Date: May 19, 2003

To: Secretary

From: Commissioner Harold J. Creel, Jr. *HJC*

Re: Docket 02-15, Passenger Vessel Financial Responsibility, Summary of Oral Presentation

Date of Presentation: May, 15, 2003

Time: 11:45 a.m.

Present: Commissioner Harold J. Creel, Jr.
Ms. Lucille L. Marvin, Esq., Counsel to the Commissioner
Mr. William N. Myhre, Esq., Preston Gates Ellis & Rouvela Meeds, LLP
Mr. Colin Veitch, President and CEO of NCL
Robert M. Kritzman, Senior Vice President & General Counsel of
Norwegian Cruise Line, NCL America

In this meeting, Mr. Veitch voiced his company's strong opposition to the FMC's Notice of Proposed Rulemaking on Passenger Vessel Financial Responsibility.

Mr. Veitch was concerned that the proposed rule to lift the \$15 million cap would ultimately slow NCL's planned growth and place his company in a competitively disadvantaged position in the cruise market. He explained that cruise industry is a very concentrated business, and emphasized that there are 3 players operating 90% of the market: Carnival at 50%, Royal Caribbean at 30%, and NCL at 10%. The larger cruise lines have completed large vessel building programs and therefore have little future capital requirements. NCL wants to expand in the North American cruise market, with five new vessels operating under the US flag by 2007. Raising the ceiling on financial responsibility would necessitate a significantly larger, fully collateralized bond to cover the unearned passenger revenue. The money required to secure such a bond would reduce NOL's working capital and delay the construction of new cruise ships.

Ultimately, this rule will harm their ability to expand and stay competitive with the larger cruiselines.

Mr. Veitch stressed that cruise passengers are not at risk of losing their payments under existing FMC regulation. The vast majority of cruise passengers use credit cards to pay for their vacations in advance, and credit card companies pay for the non-delivery of goods well beyond the regulation's 60-day period.

Mr. Veitch stated that the aforementioned information and other confidential matters presented at this meeting will be included in NOL's written docket before the end of the comment period.